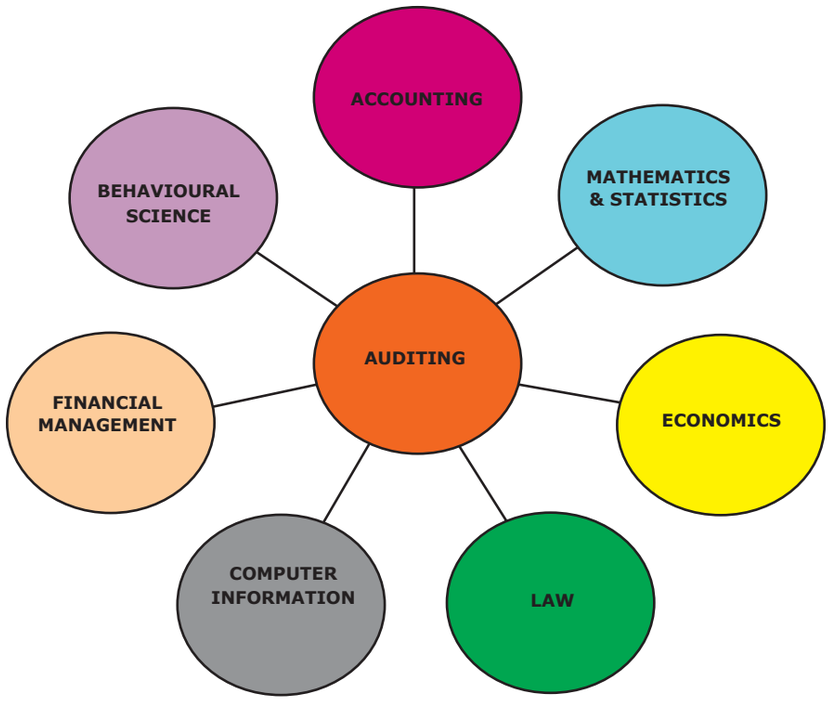
5. Reports	Accountant is not required to submit the report on the financial statements prepared by him.	Auditor should submit the report certifying the truth and fairness of the financial statements.
6. Remuneration	An accountant is remunerated in the form of salary.	An auditor is remunerated in the form of professional fees.
7. Commencement of work	Accountancy starts where Book-keeping ends.	Auditing starts where Accountancy ends.

1.7 Relationship of Auditing with other Disciplines



Disciplines	Relationship
1. Accounting	Auditor has to review and evaluate the financial statements by providing an opinion. Therefore, he should have thorough knowledge about accounting concepts and principles.
2. Mathematics and Statistics	Auditor deals with financial data and the amount that appears in financial statements. Hence, it requires knowledge of calculation procedure involved in computing various items, for example., depreciation, provision for bad debts, tax etc. Auditor is also expected to have knowledge of statistical sampling for making meaningful conclusion.
3. Economics	Auditor requires knowledge regarding business and economic environment affecting the client. Thus, economic concepts are required to perform auditing in a meaningful way.

XI_Auditing_Chapter_1.indd 4 20-02-2019 10:15:35